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Falcon Strategy

Executive Summary

July 2024

3 economic phases grew Abu Dhabi's economy 12x in the last 40 years

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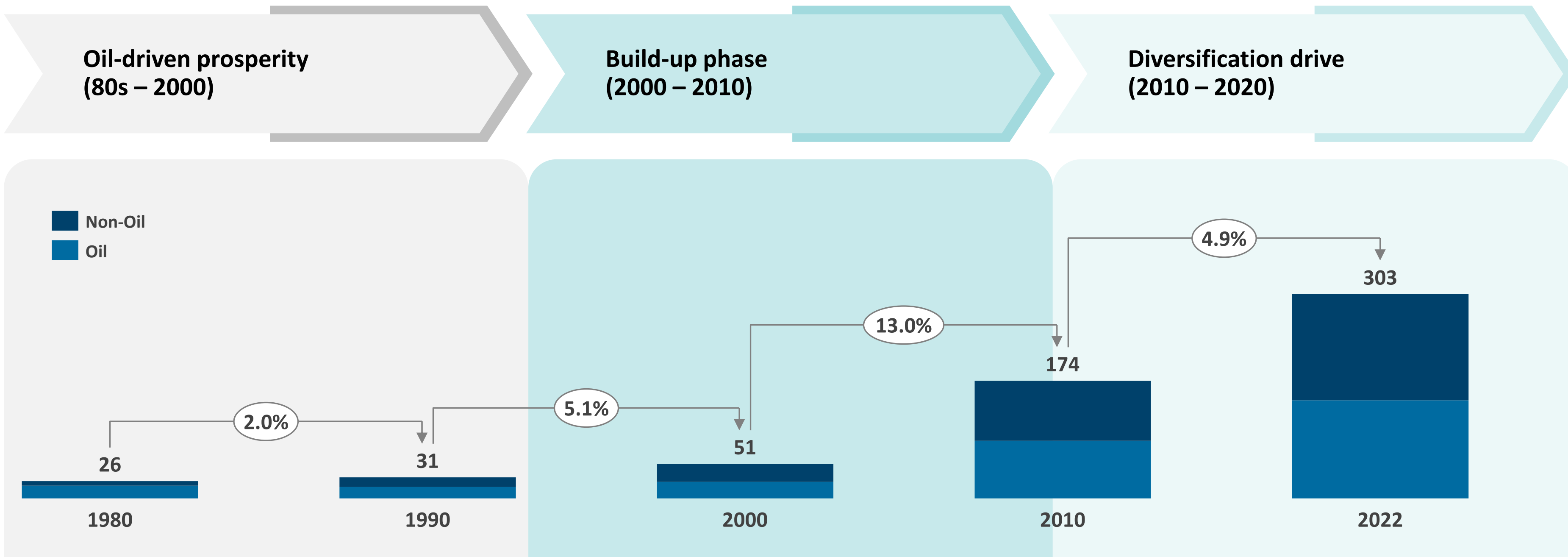
Abu Dhabi Nominal GDP (1980 – 2022), USD Bn



Non-Oil CAGR	8.0%	6.4%	12.8%	5.1%
Oil CAGR	-1.2%	3.9%	13.3%	4.7%

Source: SCAD data, using exchange rate of 3.67 from AED to USD

However, certain lagging observations will need to be addressed

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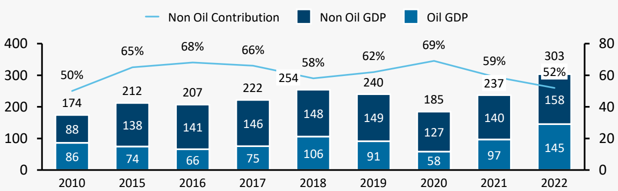
Stagnant Economy

Abu Dhabi's non-oil economy has largely remained stagnant as its diversification efforts have been limited to a few sectors

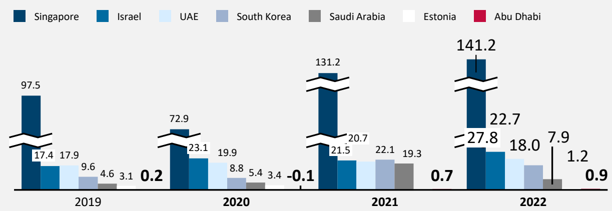
Abu Dhabi Nominal GDP with Non-Oil Contribution [USD[1] billions, 2007-2022]



Low Non-Oil FDI Inflows

Abu Dhabi's domestic and foreign investments levels are low, showed by low non-oil FDI inflows and non-oil gross fixed capital formation

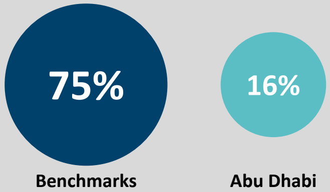
FDI Inflows [USD billion, 2019-2022]



Low Non-Oil Exports

Abu Dhabi's non-oil exports as a percentage of GDP is much lower than benchmark countries

Average Non-Oil Exports as a % of GDP [2016-2022]

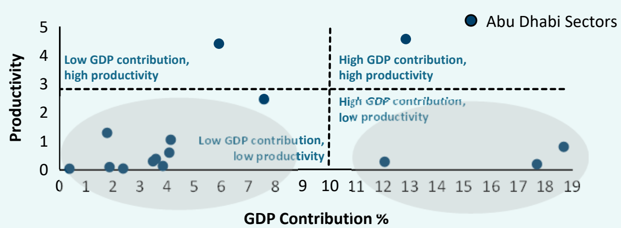


Benchmarks include Singapore, Estonia, South Korea, Israel

Low Non-Oil Productivity

Economic output is being generated by sectors that are less productive, indicating lack of focus on high productive sectors

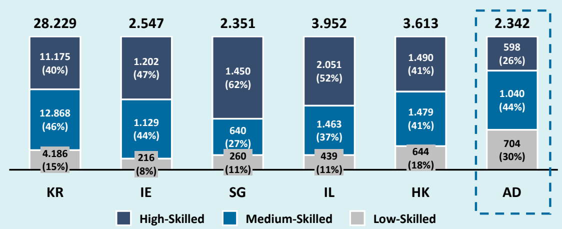
Non-oil productivity and GDP contribution[2] [AED Millions, %, 2022]



Low-Skilled Workers Mix

The workers mix in Abu Dhabi is characterized by a predominance of low-skilled labor and a low percentage of high-skilled workers

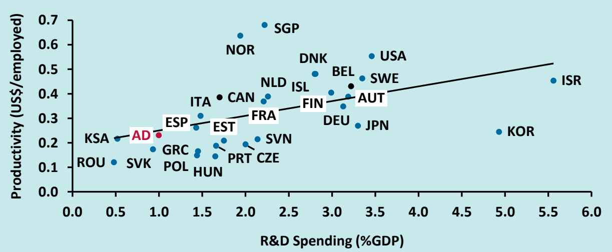
Employment by Skill [Thousands persons (% total employment), 2022]



Low R&D Spending & Innovation Output

Low R&D spending and innovation output in Abu Dhabi has wide-reaching impacts on the overall economy

R&D spending (% GDP) and Productivity [Constant GDP, 2021]



Source: SCAD, World Investment Report 2023, World Bank, ILO, [1]Exchange rate of 3.67 from AED to USD; [2]Productivity is calculated as the GDP output per worker,

To address the shortcomings, 6 guiding principles were defined with a north star ambition…

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$1 Trillion economy by 2045

Resilient

Diversifying the economy for **sustainable** growth and **self sufficiency** with **less reliance on oil exports and imports of key commodities**

Skilled

Cultivating a **Highly Skilled Workforce** and unleashing the **power of** automation to enhance **operational efficiency and boost productivity**

Competitive

An **attractive business environment** with;

- Favorable regulations
- Strong infrastructure
- Growth/investment opportunities

Export Driven

Shifting to **non-oil export-led** economy, with a focus on **manufacturing industries** (i.e., SAVI, metals etc.)

Agile

Exploiting **advanced technologies and emerging disruptive economic trends** with a strong emphasis on **research and development (R&D)**

Quality of Life

Fostering a **cohesive and attractive environment** for **residents and visitors** with **best-in-class infrastructure** and **state of the art experiences** while maintaining **affordable cost of living**

… to shape a resilient, highly skilled, and export-driven economy

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All monetary values expressed in nominal terms

	Metrics	From 2022			To 2045 $1 tn economy
Shift to a more diverse and knowledge-based economy	Non-oil productivity[1]	**58** Thousand USD		**X3.0**	**160 – 190** Thousand USD
With a higher skilled labor force	Workforce[1] Total employed	**2.8** Million	26% skilled	**X1.9**	46% skilled **5.1 – 5.5** Million
A population growth that maintains demographic balance	Demographics[2] Total population	**3.7** Million	20% Emiratis	**X2.0**	17% Emiratis **7.3 – 7.6** Million
Shifting from consumption to an export-led economy	Non-oil exports[3] (Goods and services)	**63** Billion USD		**X6.8**	**~381 – 463** Billion USD

Source: DED Economic Model, 1. Estimated using latest employment data from establishment survey in 2020, 2. Estimated from latest census conducted in 2021, number is currently under revision, 3. 2022 figure estimated. Non-oil exports excludes re-exports

The $1 Trillion GDP goal will be achieved through 3 key levers

Abu Dhabi's GDP, nominal in USD bn

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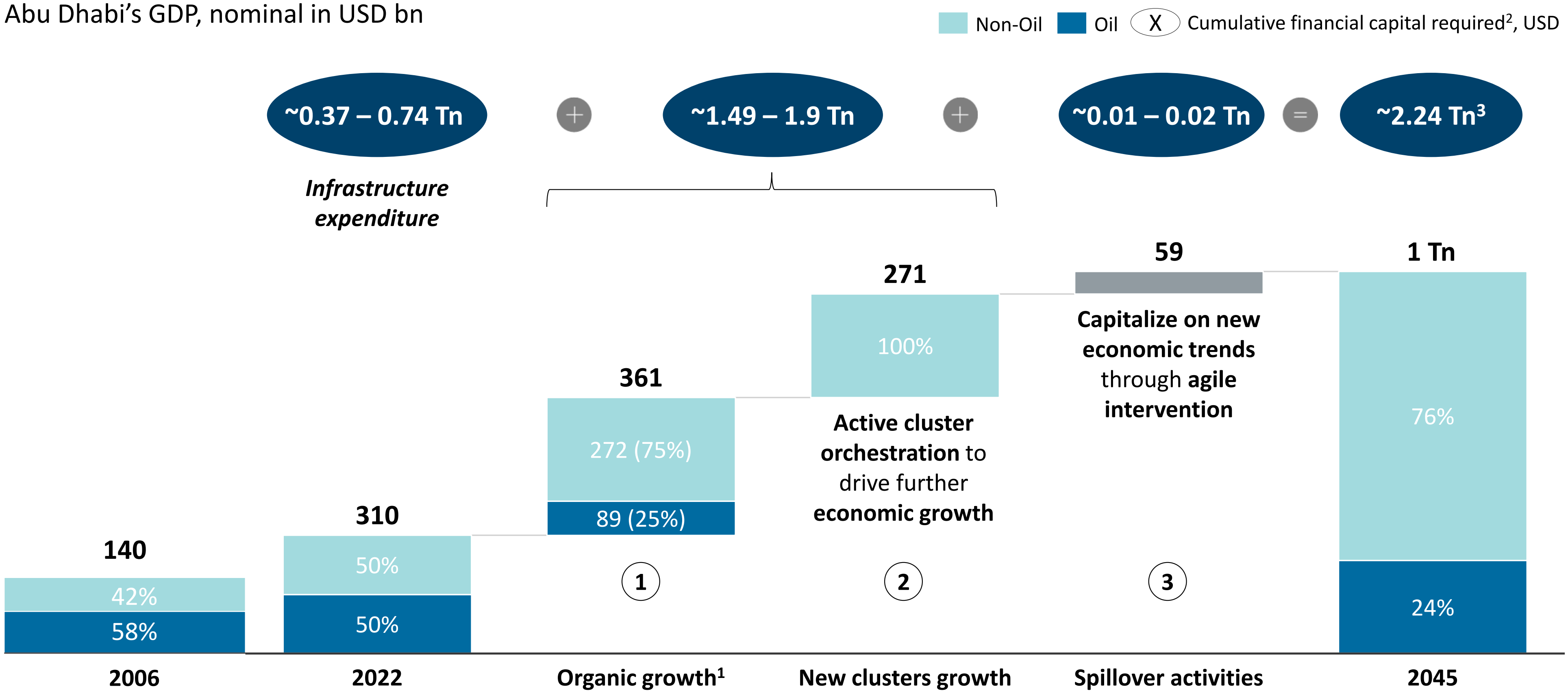

1. Based on 2% CAGR for Oil GDP and 4.5% CAGR for Non-Oil GDP, 2. Based on benchmarking and high-level estimates of comparable markets, 3. 76%, ~1.41 – 2 Tn USD, goes to non-oil economic activities,

A robust process was adopted to identify and shortlist growth plays...

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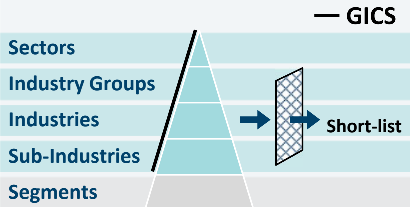
Clusters Selection process

Phase 1 | **Phase 2** | **Execution**

Sectors / Subsectors Prioritization



Alignment with AD's priorities

- National resilience
- Potential to export
- Favorable natural conditions

Global markets' viability

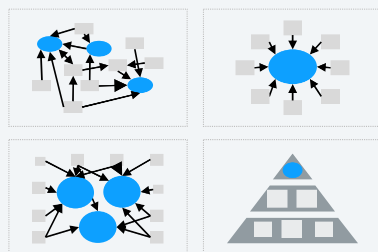
- Size and growth
- Innovation potential

Sectors / Subsectors Baseline Analysis

1. Definition and value chain
2. Market size and growth
3. Trends and innovations
4. AD ecosystem
5. Gaps and opportunities for AD
6. Opportunity sizing (GDP and jobs)
7. Enablers

Clusters Development

- Define cluster plays and opportunities
- Assess potential GDP impact horizon for overall clusters



Cluster Opportunity Detailing

- Abu Dhabi cluster positioning
- Economic targets for cluster (GDP, jobs, investments required, etc.)
- Trade, partnerships and market access requirements
- Enablers (human capital, funding and incentives)

Enablers Plan Detailing

- Design and implement government enablers and initiatives
- Align with all stakeholders
- Develop regional strategies
- Activate G2G partnerships

163
Sub-industries Analyzed

20
Prioritized Economic Sectors[1]

+120
Investment Opportunities

13
Playbooks Completed

Note: GICS taxonomy defines 11 Sectors | 25 Industry Groups | 74 Industries | 163 Sub-industries. The sub-segments are further detailing of a specific sub-industry into more granular activities (e.g. Electric Vehicles under Automotive, etc.)
[1]Total market size of the selected 20 priority sectors in 2022 amounted to USD ~58 Tn, with a minimum CAGR of 5%

…that are grouped into complementary and interrelated themes

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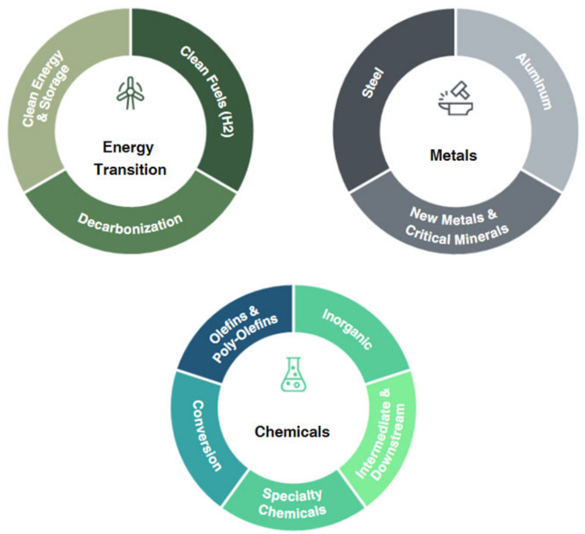
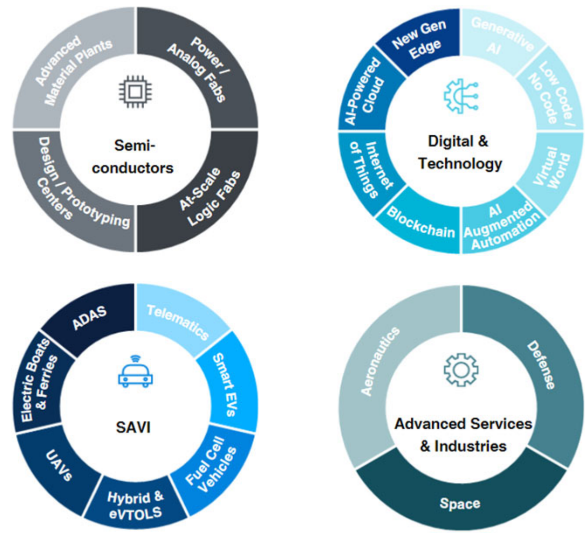
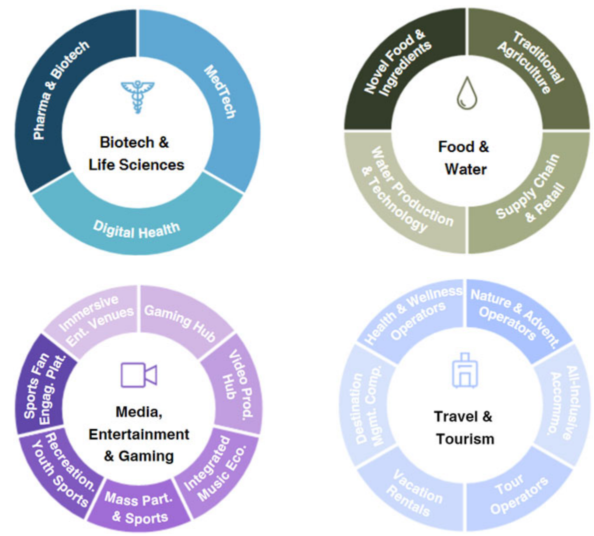
Resources



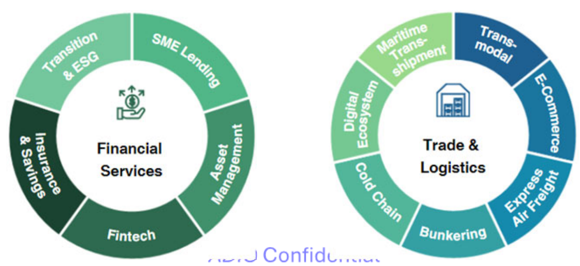
Technology



Liveability



Value Added Services



For each identified cluster, key information has been gathered to create an execution playbook

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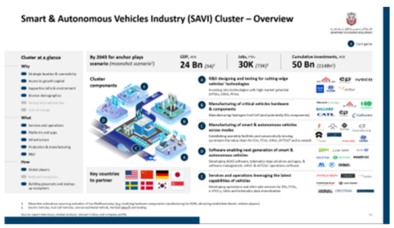
A unified cluster playbook framework has been implemented across 13 clusters

Overview

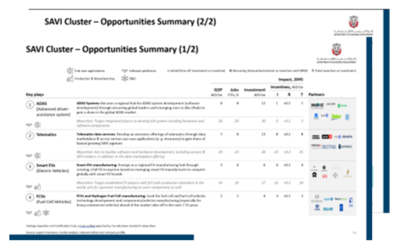


Identified growth potential, strategic vision, and key partners for each cluster

Global Key Trends

Analyzed key trends in each cluster to demonstrate their impact on revenue and advancements

Opportunities



Highlighted opportunities in each cluster to showcase potential partners and socio-economic impact

Enablers

Identified a set of enablers for each cluster related to infrastructure, funding, talent, policies, G2G agreements, and R&D

Implementation Roadmap

Developed a comprehensive roadmap illustrating the cluster's progression over the years

Key enablers were identified across each cluster

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Examples across the enablers for different clusters

Illustrative

ENABLERS

Physical & Digital Infrastructure

- Clean Electricity – 5.4GW
- Gas – ~80 MMBtu
- H2 – ~1.5K Kg
- Cooling Water – ~1 Mn M3

Metals & Critical Minerals | Chemicals | Semiconductors

Regulatory Enhancement

- Implement **energy transition regulations** *(e.g., distributed renewable energy generation)*
- Introduce **certifications for carbon credit** and **GHG emissions**

Energy Transition | Chemicals

Financing & Funding

- Establish **specialized VC funds** focused on **high-growth digital sectors**
- Create **loan guarantee** programs for **SMEs**

Digital & Technology | Financial Services

G2G Agreements for Market Access

- Establish country relationships **across all clusters** to:

Source material

Access talents and tech

Export products

Talent Development & Retention

- **Introduce specialized programs** in **AI**
- Attract **specialized talent to build competitive niches** *(e.g., broker and asset management, financial reserving, etc.)*

SAVI | Digital & Technology | Financial Services

Innovation and R&D

- Provide **R&D grants** for **clinical trials**
- Provide **R&D grants** for **tech startups** and **enhance local IP commercialization**

Biotech & Life Sciences | Digital & Technology

10 parameters were taken into consideration to prioritise the clusters

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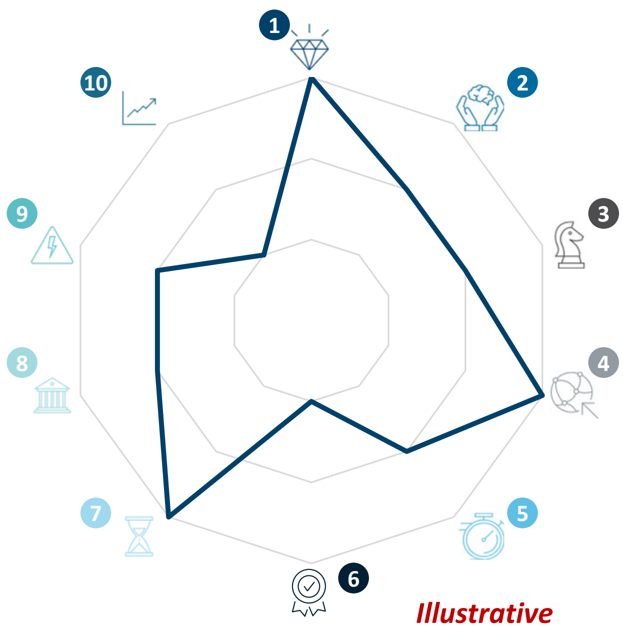

Illustrative

1	**Resilience/Complexity**	Diversity of economic sectors and activities
2	**Skill Mix**	Ratio of high and medium-skill to lower-skill jobs
3	**Competitiveness**	Ratio of incentives required to capital expenditures
4	**Export Value**	Total export value (2045)
5	**Agility/Productivity**	Productivity measured by total GDP[1] per employee
6	**Quality of Life**	Average annual salary per cluster
7	**Lead Time**	Time required to realize impact on GDP[1]
8	**Regulations**	Number of regulatory and policy changes required
9	**Energy Requirements[2]**	Estimated energy capacity requirements
10	**Total GDP[1]**	GDP contribution of the cluster (2045)

1. Direct + Indirect GDP contribution. Direct contribution is the sum of EBTIDA, total CapEx, total wages, VAT, subtracting the subsidies, while the indirect is determined through a multiplier based on benchmarks
2. See appendix

Defining the strategic ambition creates focus and prioritizes efforts

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	Top 3 Priority Sectors	DED/ADIO Focus		
Strategic Ambition	1 Megatrend Enablers	2 No Regrets	3 Big Bets	4 Cruise Control
Clusters	Energy Transition Semiconductors Biotech & Life Sciences	Digital & Technology Financial Services Media, Entertainment & Gaming	SAVI Alternative Proteins	Advanced Services & Industries Chemicals Travel & Tourism Trade & Logistics Metals & Critical Minerals
DED / ADIO Role	• Creating an enabling regulatory framework • Supporting champions by providing globally competitive incentive programs	• Implementing progressive and agile regulatory frameworks • Promote and incentivize companies to drive FDI, capital and employment	• Accelerate speed-to-market through regulatory sandboxes • Seed and anchor disruptive opportunities to attract follow-on investments	• Align and orchestrate opportunities with existing stakeholders and national champions • This includes sectors such as construction, real estate, utilities professional services and education
Incremental Incentives (Over 20 years)	-	**$13 Bn**	**$7 Bn**	**$0 Bn**

$1 Bn per annum

Moving forward, ADIO will take a central role in orchestrating the execution of the Falcon Economy Strategy

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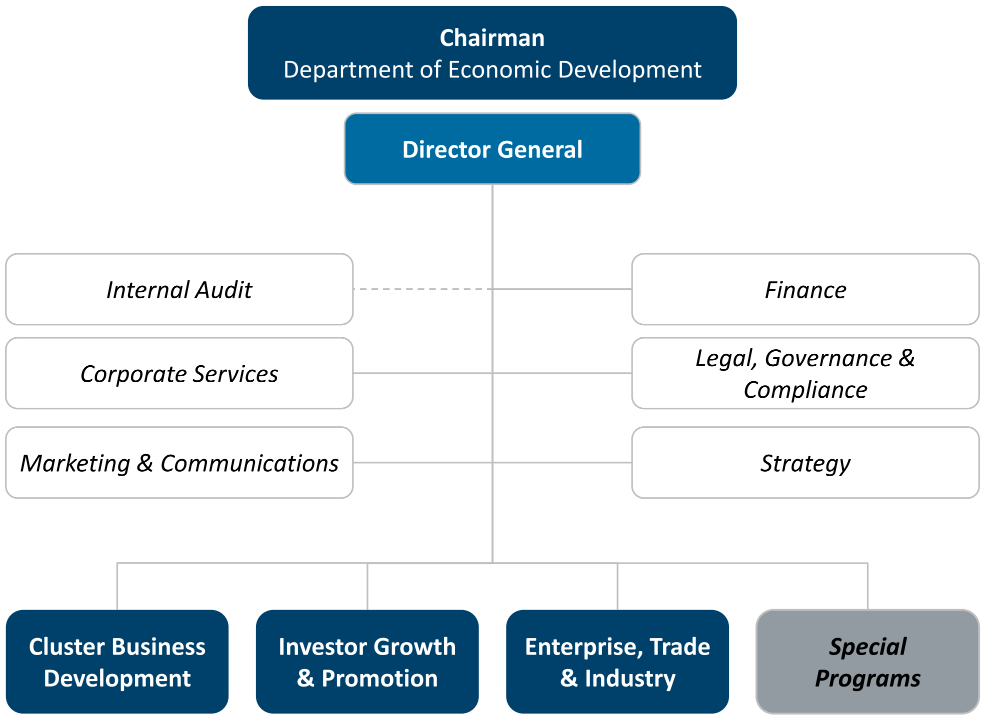
ABU DHABI INVESTMENT OFFICE OPERATIONAL MODEL



BUSINESS UNITS

- **Cluster Business Development**
- **Investor Growth & Promotion**
- **Enterprise, Trade & Industry**
- ***Special Programs***

Execute economic projects which includes targeted investment attraction and value creation while meeting defined targets and KPIs to drive growth and achieve strategic objectives

Includes:

- **Musataha Program**
- **Private-Public Partnerships Program**
- **Retail Development Program**
- **Tourism Development Program**
- **UHNWIs Program**
- **Al Ain/ Al Dhafra Activation**

SUPPORT UNITS

- *Finance*
- *Internal Audit*
- *Strategy*
- *Legal, Governance & Compliance*
- *Marketing & Communications*
- *Corporate Services*

Provide support to business units which includes aligning strategies across and with the broader Abu Dhabi vision, supporting in investment attraction and evaluating their Impact